

The October 2021 Senior Loan Officer Opinion Survey on Bank Lending Practices

The October 2021 Senior Loan Officer Opinion Survey on Bank Lending Practices addressed changes in the standards and terms on, and demand for, bank loans to businesses and households over the past three months, which generally correspond to the third quarter of 2021.¹

Regarding loans to businesses, respondents to the October survey, on balance, reported easier standards and stronger demand for commercial and industrial (C&I) loans to large and middle-market firms over the third quarter. Banks also reported easier standards for C&I loans to small firms, while demand from small firms remained basically unchanged.² For commercial real estate (CRE), banks reported easier standards for all loan categories. Banks also reported stronger demand for multifamily loans and for loans secured by nonfarm nonresidential properties, while demand for construction and land development loans remained basically unchanged. For loans to households, banks eased standards across most categories of residential real estate (RRE) loans, on net, and reported weaker demand for most types of RRE loans over the third quarter. Banks also eased standards across all three consumer loan categories—credit card loans, auto loans, and other consumer loans—while reports on demand for consumer loans were mixed.

The survey included a set of special questions inquiring about the current level of demand relative to pre-pandemic levels (defined as the end of 2019) for C&I and credit card loans, as well as banks' outlook for demand for such loans over the next six months. On balance, banks reported weaker levels of demand for all queried C&I and credit card loan categories compared with the end of 2019, and that they expect stronger demand for both C&I and credit card loans over the next six months.

¹ Responses were received from 69 domestic banks and 21 U.S. branches and agencies of foreign banks. Respondent banks received the survey on September 27, 2021, and responses were due by October 7, 2021. Unless otherwise indicated, this summary refers to the responses of domestic banks.

² Large and middle-market firms are defined as firms with annual sales of \$50 million or more, and small firms are those with annual sales of less than \$50 million.

Lending to Businesses

(Table 1, questions 1–12; table 2, questions 1–8)

Questions on commercial and industrial lending. Over the third quarter, banks generally reported having eased standards and terms on C&I loans to firms of all sizes. On net, moderate shares of banks reported having eased standards on loans to large and middle-market firms and small firms.³ Banks also eased most queried lending terms on loans to firms of all sizes.⁴ Easing was most widely reported for spreads of loan rates over the cost of funds, with significant net shares of banks reporting having eased these terms for C&I loans to firms of all sizes. Additionally, a significant or moderate net share of banks reported having eased the following terms on C&I loans to large and middle-market firms: the maximum size of credit lines, cost of credit lines, use of interest rate floors, and loan covenants. Regarding small firms, moderate net shares of banks also reported reducing the cost and increasing the maximum size of credit lines. Other queried C&I loan terms for firms of all sizes were either eased by a modest share of banks or remained basically unchanged on net. Foreign banks reported having left standards and most of their lending terms on C&I loans unchanged. However, a modest net share of foreign banks reported narrowing spreads of loan rates over the cost of funds.

Major net shares of banks that reported easing standards or terms cited a more favorable or less uncertain economic outlook and more-aggressive competition from other banks or nonbank lenders. Significant net shares of banks also cited improvements in industry-specific problems, increased tolerance for risk, improvements in their current or expected liquidity or capital positions, and increased liquidity in the secondary market, as important reasons for easing.

Regarding demand for C&I loans over the third quarter, modest net shares of banks reported stronger demand from large and middle-market firms, while demand from small firms remained basically unchanged. Furthermore, a moderate net share of banks reported a higher number of

³ For questions that ask about lending standards or terms, “net fraction” (or “net percentage”) refers to the fraction of banks that reported having tightened (“tightened considerably” or “tightened somewhat”) minus the fraction of banks that reported having eased (“eased considerably” or “eased somewhat”). For questions that ask about loan demand, this term refers to the fraction of banks that reported stronger demand (“substantially stronger” or “moderately stronger”) minus the fraction of banks that reported weaker demand (“substantially weaker” or “moderately weaker”). For this summary, when standards, terms, or demand are said to have “remained basically unchanged,” the net percentage of respondent banks that reported either tightening or easing of standards or terms, or stronger or weaker demand, is greater than or equal to 0 and less than or equal to 5 percent; “modest” refers to net percentages greater than 5 and less than or equal to 10 percent; “moderate” refers to net percentages greater than 10 and less than or equal to 20 percent; “significant” refers to net percentages greater than 20 and less than 50 percent; and “major” refers to net percentages greater than or equal to 50 percent.

⁴ Lending standards characterize banks’ policies for approving applications for a certain loan category. Conditional on approving loan applications, lending terms describe banks’ conditions included in loan contracts, such as those listed for C&I loans under question 2 to both domestic and foreign banks and those listed for credit card, auto, and other consumer loans under questions 21–23 to domestic banks. Thus, standards reflect the extensive margin of lending, while terms reflect the intensive margin of lending. The eight lending terms that banks are asked to consider with respect to C&I loans are the maximum size of credit lines, maximum maturity of loans or credit lines, costs of credit lines, spreads of loan rates over the bank’s cost of funds, premiums charged on riskier loans, loan covenants, collateralization requirements, and use of interest rate floors.

inquiries from potential borrowers regarding the availability and terms of new credit lines or increases in existing lines over the third quarter. Meanwhile, a moderate net fraction of foreign banks reported stronger demand for C&I loans.

Major shares of banks that reported stronger demand cited increases in customers' needs to finance inventory, accounts receivable and mergers and acquisitions, and increased investment in plant or equipment as important reasons for stronger demand.⁵

Questions on commercial real estate lending. Over the third quarter, a significant net share of banks reported having eased standards on multifamily loans, while modest net shares of banks reported easing standards on nonfarm nonresidential loans and construction and land development loans.

Significant and moderate net shares of banks reported stronger demand for multifamily loans and for loans secured by nonfarm nonresidential properties, respectively. Meanwhile, demand for construction and land development loans remained basically unchanged. A modest net share of foreign banks eased standards on CRE loans, while a significant net share of foreign banks reported stronger demand for such loans.

Lending to Households

(Table 1, questions 13–26)

Questions on residential real estate lending. Over the third quarter, banks eased lending standards for most mortgage loan categories and for revolving home equity lines of credit (HELOCs).⁶ The two exceptions were government residential mortgages—for which standards were basically unchanged on net—and for subprime mortgages, which few banks reported as originating. The easing in residential mortgage standards was most widely reported for jumbo

⁵ Most of the banks that reported weaker demand cited decreased investment in plant or equipment, increased customer internally generated funds, and decreased financing needs on inventory and accounts receivable.

⁶ The seven categories of residential home-purchase loans that banks are asked to consider are government-sponsored enterprise (GSE)-eligible, government, qualified mortgage (QM) non-jumbo non-GSE-eligible, QM jumbo, non-QM jumbo, non-QM non-jumbo, and subprime. See the survey results tables that follow this summary for a description of each of these loan categories. The definition of a QM was introduced in the 2013 Mortgage Rules under the Truth in Lending Act (12 C.F.R. pt. 1026.32, Regulation Z). The standard for a QM excludes mortgages with loan characteristics such as negative amortization, balloon and interest-only payment schedules, terms exceeding 30 years, alt-A or no documentation, and total points and fees that exceed 3 percent of the loan amount. In addition, a QM requires that the monthly debt-to-income ratio of borrowers not exceed 43 percent. For more on the ability to repay and QM standards under Regulation Z, see the Consumer Financial Protections Bureau (2019), "Ability to Repay and Qualified Mortgage Standards Under the Truth in Lending Act (Regulation Z)," webpage, <https://www.consumerfinance.gov/regulations/ability-to-repay-and-qualified-mortgage-standards-under-the-truth-in-lending-act-regulation-z>.

loans, with significant net shares of banks reporting having eased standards for qualified mortgage (QM) jumbo mortgages and non-QM jumbo mortgages.

Banks also reported weaker demand for most RRE loan categories over the third quarter. The two exceptions were QM jumbo mortgages and HELOCs, for which demand was basically unchanged on net.

Questions on consumer lending. Over the third quarter, significant and modest net shares of banks eased standards for credit card and auto loans, respectively. A moderate net share of banks also reported having eased standards for consumer loans other than credit card and auto loans. Consistent with an easing of standards for credit card loans, a significant net share of banks reported easing minimum credit score requirements for credit card loans. Meanwhile, a modest net share of banks reported easing minimum credit score requirements and the maximum maturity for auto loans. Additionally, a significant net share of banks increased credit limits on credit card accounts and a moderate net share of banks reduced spreads of interest rates charged on outstanding balances for auto loans. Other surveyed terms on consumer loans either remained basically unchanged, on net, or had a modest net share of banks report easing.⁷

Regarding demand for consumer loans, a moderate net share of banks reported stronger demand for credit card loans, while a moderate net share of banks reported weaker demand for auto loans. Demand for consumer loans other than credit card and auto loans remained basically unchanged on net.

Special Questions on Current Level of, and Outlook for, Demand for Commercial and Industrial Loans and Credit Card Loans

(Table 1, questions 27–29; table 2, questions 9–11)

The October 2021 survey also included a set of special questions that asked respondents to describe the current level of demand relative to pre-pandemic levels (defined as the end of 2019) for C&I and credit card loans. In addition, the survey inquired about banks' outlook for demand for these loan categories over the next six months. Overall, responses to the special questions indicate that demand for C&I and credit card loans is currently weaker relative to pre-pandemic levels. However, banks expect stronger demand for C&I and credit card loans over the next six months.

For C&I loans, significant net shares of banks reported weaker demand for non-syndicated loans from small and very small firms, while a moderate net share of banks reported weaker demand

⁷ Banks were asked about the minimum required credit score as well as changes in credit limits (credit card accounts and other consumer loans only), maximum maturity (auto loans only), loan rate spreads over costs of funds, the minimum percent of outstanding balances required to be repaid each month, and the extent to which loans are granted to borrowers not meeting credit score criteria.

for non-syndicated loans to large and middle-market firms, compared with pre-pandemic levels.⁸ Modest net shares of banks reported weaker demand for syndicated loans from investment-grade and below-investment-grade firms for the same period. Foreign banks also reported weaker demand for non-syndicated loans relative to pre-pandemic levels, but stronger demand for syndicated loans.

Looking ahead, banks expect stronger demand for C&I loans during the next six months from firms of all sizes. The most widely cited reasons for a stronger outlook for demand were higher investment in plant or equipment as well as an increase in expected customer financing needs on inventories, accounts receivable and on mergers or acquisitions.

Regarding credit card loans, a moderate net share of banks reported weaker demand from prime borrowers relative to pre-pandemic levels. Significant and moderate net shares of banks also reported weaker demand from near-prime and subprime borrowers, respectively.⁹ Looking ahead, significant net shares of banks reported expecting stronger demand for credit card loans over the next six months for prime and near-prime borrowers, while a moderate net share of banks reported expecting stronger demand for subprime borrowers. Major net shares of banks cited customers facing more favorable income prospects, and higher expected customer spending needs given prevailing interest rates and terms, as reasons for stronger expected demand. In addition, significant net shares of banks cited customer facing more favorable terms and shifting borrowing from alternative non-credit card sources of financing as reasons for stronger expected demand for credit cards.

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⁸ In the set of special questions, large and middle-market firms were defined to be firms with annual sales of \$50 million or more; small firms were those with sales between \$50 million and \$5 million; very small firms were those with sales of less than \$5 million.

⁹ In the set of special questions, prime borrowers are defined as those having a FICO score of 720 or above or the equivalent, near-prime are those having a FICO score in the 620-719 range or the equivalent, and subprime those having a FICO score of 619 or below or the equivalent.